

Texas Triangle *Multifamily* 2026

Why the entry window is open — and why now is the time to pay attention

—56%

U.S. STARTS FROM PEAK

\$162B

MATURITY WALL 2026

391K

NEW TEXAS RESIDENTS 2025

15–18%

TARGET LP IRR

INVESTMENT THESIS · MAY 2026

"The thesis is not 'buy Texas because Texas is great.' The thesis is: in a market where supply has collapsed, demand has held, capital is dislocated, and motivated sellers are emerging, the next 6–12 months represent the highest-probability entry window in the Texas Triangle since 2010."

—56%

U.S. multifamily starts from 2022 peak — supply drought locked in through 2028

391K

Net new Texas residents in 2025 — #1 state nationally for in-migration

\$162B

Multifamily loans maturing in 2026 — motivated sellers entering the market

6.5%+

Mortgage rates keeping for-sale market closed — renters are captive

1.6%

Houston vacancy rate — tightest major market in the U.S.

\$1,220

Own-vs-rent gap per month in Texas — up from \$300 in 2020

01 · THE INVESTMENT THESIS

Why the Entry Window Is Open

Five independent forces converging simultaneously in Q2–Q3 2026

01 SUPPLY CLIFF

U.S. multifamily starts collapsed 56% from the 2022 peak of 708K to just 311K in 2025 — the lowest level since 2010. Texas pipeline down 45–80% across all four metros. The supply drought extending into 2028 is mathematically locked in.

02 AGENCY DEBT OPEN

Fannie Mae and Freddie Mac both set \$88B multifamily purchase caps for 2026 — fully open to qualified sponsors. Multifamily CMBS delinquency rate remains just 0.5%, demonstrating asset-class stability. Financing is available for disciplined buyers.

03 DEMAND ENGINE

Texas added 391K net new residents in 2025 — #1 state nationally. Houston is the #1 fastest-growing top-20 metro at +1.6%. AT&T is relocating its global HQ to Plano with 10,000 jobs. 3 of the top 5 corporate HQ relocation destinations are Texas Triangle metros.

04 RENTER LOCK-IN

Mortgage rates at 6.5%+ keep the for-sale market structurally closed. The own-vs-rent gap in Texas has reached \$1,220/month in 2026E — up from just \$300/month in 2020. Renters are captive. Demand is durable.

05 MATURITY WALL

\$162B in multifamily loans mature in 2026 — up 56% YoY from \$104B in 2025. \$168B more in 2027. Sponsors who cannot refinance must sell at market-clearing prices, creating a wave of motivated deal flow unavailable at any other point in the cycle.

06 RATE ENVIRONMENT

The Fed's rate pause has stabilized cap rates. Agency debt at 5.5–6.0% is available for qualified sponsors. Bridge lenders are actively competing. The cost of capital is predictable for the first time since 2021 — underwriting is executable.

"The next 6–12 months represent the highest-probability entry window in the Texas Triangle since 2010."

FOXTRIDGE HOUSE VIEW — Q2 2026

How Overbuilding Becomes Opportunity

From 2021–2024, developers responded to post-pandemic rent surges with the largest construction cycle in 44 years — 595,000 units delivered in 2024 alone. That wave is now collapsing. The mathematics of this reversal are locked in.

–56%

U.S. STARTS DECLINE

From 708K peak (2022) to 311K in 2025

280K

2027E DELIVERIES

Down 53% from 2024 peak of 595K

+\$10,900

ADDED PER UNIT

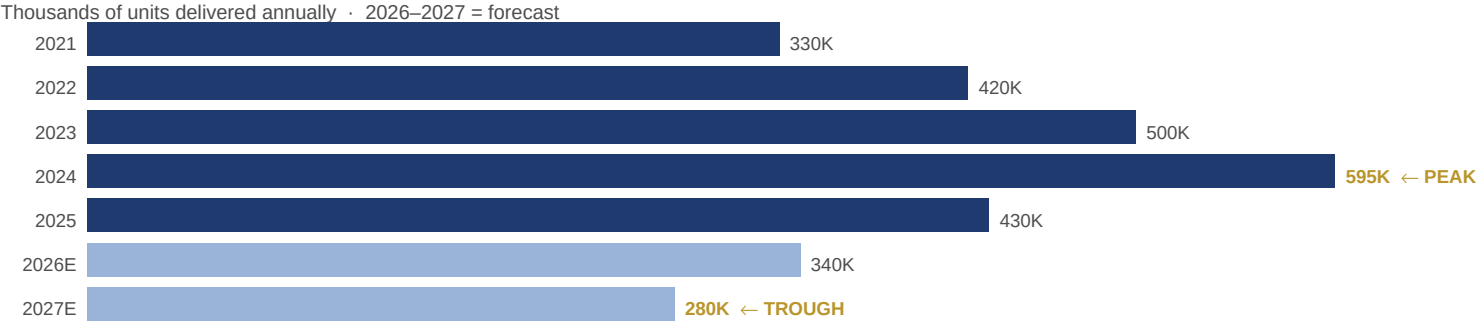
Steel/aluminium tariffs (Jan 2026)

7%+

C&D LENDING RATES

50–60% LTC — economically unworkable

U.S. Multifamily Deliveries — The Supply Cliff



Sources: Yardi Matrix Winter 2026 · Freddie Mac 2025 Multifamily Outlook · CBRE

Texas Triangle — Supply Collapse from Peak

Metro	Units UC (Q1 2026)	Decline from Peak	Status
Houston	~11,000	–45% from peak	GO NOW — GSE buy signal
San Antonio	~4,800	–76% from peak	GO NOW — lowest entry pricing
Dallas–FW	48,859	–45% from peak	GO SOON — AT&T HQ catalyst
Austin	25,931	–65% from peak	WATCH — deploy H1 2027

Sources: IPA Research Services · RealPage Q1 2026 · Newmark · Cushman & Wakefield Jan 2026

THE ASSET CLASS · Class A Garden-Style Multifamily · Sun Belt · Value-Add · 200+ Units

Low-rise garden communities acquired below replacement cost during the supply trough

03 · MARKET VERDICTS

Four Ecosystems, Four Entry Points

The Texas Triangle is not a single market. Each metro is at a distinct point in its recovery cycle as of Q1 2026.

Houston, TX

Energy Corridor · Medical Center · Katy / Pearland

GO NOW

Q1 2026 Vacancy	11.6%
YE 2027 Target	8–9%
2026E Rent Growth	+3.0–4.9%
B+ Value-Add Cap	6.0–6.5%
Population Growth	+1.6% (#1 top-20)

Freddie + Fannie both project Houston flips from 6,000-unit surplus to 5,800-unit deficit in 2026 — the GSE institutional buy signal.

San Antonio, TX

JBSA Military · Stone Oak · NE Loop 1604

GO NOW

Q1 2026 Vacancy	~12.0%
Class A Vacancy	6.7% (tightest in TX)
Class A Rent Growth	+2.8% YoY
Units Under Construction	~4,800 (–76% from peak)
Entry Pricing	\$150–170K/unit

Most undervalued risk-adjusted return profile in the Texas Triangle today. Military anchor: 38,000 active duty at JBSA.

Dallas–Fort Worth

Plano / Frisco · Garland · Arlington

GO SOON

Q1 2026 Vacancy	12.5%
YE 2027 Target	9–10%
2026E Rent Growth	+1.5%
B+ Value-Add Cap	5.7–6.5%
Best Entry Window	H2 2026 – mid 2027

AT&T \$1.35B HQ relocation to Plano announced Jan 2026 — 10,000 jobs over the next decade. Plano/Frisco corridor is highest-conviction suburban submarket.

Austin, TX

Tech + University — Recovery 2027–2028

WATCH

Q1 2026 Vacancy	14.5%
YE 2027 Target	10–12%
Current Concessions	8–12 weeks free rent
2026E Rent Growth	–0.7% to flat
FoxRidge Deployment	PAUSED — monitor H1 2027

Strongest long-term tech and university fundamentals. Concession burn-off must complete before FoxRidge deploys primary capital. Full recovery: 2028.

Sources: Yardi Matrix · RealPage Q1 2026 · Newmark · Lumicre · Northmarq · Dallas Fed (March 2026) · FoxRidge House View

04 · RETURN MECHANICS

Why Trough-Cycle Entry Is a Mathematical Edge

Three effects compound simultaneously for investors who deploy capital at the cycle trough. Each is independent — together they produce return profiles unavailable at any other point in the cycle. Illustrative model: \$30M acquisition, 200 units, 65% LTV.

Metric	Base Case	Upside Case
Going-In Cap Rate	6.25%	6.50%
Year 1 Rent Growth	0.0%	1.5%
Year 2–5 Avg Rent Growth	3.0%	4.5%
Exit Cap Rate (Year 5)	5.75%	5.25%
LP IRR (5-year)	15–17%	19–22%
LP Equity Multiple	1.9x	2.2x
LP Avg Cash-on-Cash	6.5%	7.5%

These are illustrative — every deal is underwritten independently. Past performance is not indicative of future results.

Standard Investment Terms

Structure	506(c) single-asset syndications — accredited investors only	Minimum Investment	\$50,000 (anchor: \$1M+)
Hold Period	5 years (flexible to refi / extend)	Target LP IRR	15–18%
Target Equity Multiple	1.9–2.1x	Preferred Return	7–9% (deal-dependent)
Profit Split	70% LP / 30% GP (typical)	Distributions	Quarterly after stabilisation
Tax Benefits	Cost segregation + bonus depreciation	Reporting	Quarterly LP reports + K-1 by March

Buy at Trough. Hold Through Recovery. Exit at the Peak.

Entry at 6.25%+ going-in cap · 5-year hold · Exit at 5.75% base / 5.25% upside · 15–18% LP IRR target

05 · RISKS — HONESTLY ASSESSED

What Could Go Wrong, and How We Mitigate It

"Any sponsor who tells you there are no risks in Texas multifamily in 2026 is not worth your capital."

HIGH

Texas Property Tax Reassessment

RISK

When a Texas multifamily property changes hands, the appraisal district resets assessed value to transaction basis. A \$30M acquisition previously assessed at \$18M can trigger ~\$200K/year of incremental tax expense.

FOX RIDGE MITIGATION

FoxRidge underwrites property taxes at 2.0–2.5% of purchase price annually in Year 1 — never at T-12 actuals. The single most common underwriting error in Texas acquisitions.

HIGH

Insurance Cost Escalation

RISK

Texas multifamily insurance has risen 60–120% since 2020, driven by Gulf hurricane exposure, hailstorm losses, and reinsurance dislocation. Annual premiums in coastal Houston now exceed \$1,200/unit.

FOX RIDGE MITIGATION

FoxRidge maintains direct broker relationships and rebids insurance at acquisition. Deductible structures and roof/exterior upgrade capex programmes reduce loss frequency and premium exposure.

MEDIUM

Concession Burn-Off Takes Time

RISK

Dallas Fed (March 2026) confirmed concessions of 6–8 weeks of free rent remain widespread across Texas markets, with Austin and Dallas leading at 10–12 weeks in some submarkets.

FOX RIDGE MITIGATION

FoxRidge models Year 1 effective rent at face rate minus 6–8 weeks of concessions regardless of broker pro forma. Year 1 free cash flow is realistic, not optimistic.

MEDIUM

Immigration Enforcement Impact

RISK

Federal immigration enforcement reduced 2025 population growth in Texas and Florida, impacting Class B/C workforce housing renter demand and paradoxically reducing future supply via construction labour shortages.

FOX RIDGE MITIGATION

FoxRidge focuses on Class B+/A with employed, school-district-anchored renter cohorts — meaningfully less exposed than Class C workforce housing.

MEDIUM

Interest Rate Path Uncertainty

RISK

Fed Funds at 3.50% as of April 2026. JPMorgan and others now project zero cuts in 2026. MBA forecasts potential 2027 rate hike. Agency debt at 6.0–6.5% may persist longer than expected.

FOX RIDGE MITIGATION

FoxRidge stress-tests every deal at exit refinance rates of 5.75% (not 5.0%) and underwrites positive leverage at acquisition. We do not depend on rate cuts to make a deal work.

"A disciplined sponsor is identified by what they underwrite out of, not what they underwrite in."

FOX RIDGE UNDERWRITING PHILOSOPHY

06 · THE TEAM

Two Operators, One Focused Platform

FoxRidge Equity Partners is a multifamily syndication platform built on two principals with complementary backgrounds in Texas operations and capital markets. Single-asset deal structure — LPs see every deal and elect individually. Principals co-invest personally on every deal.



Mikhail Pritsker

MANAGING PARTNER · MIAMI, FL

MBA, Chicago Booth. CCIM. Capital markets, investor relations, multifamily and mixed-use across multiple cycles. Leads LP relationships, debt placement via Newmark, and investor reporting.



Slava Davidenko

MANAGING PARTNER · AUSTIN, TX

MBA, Chicago Booth. Texas multifamily operator with a portfolio spanning 5,000+ units across acquisitions, asset management, and capital partnerships. Leads deal origination and operational execution across Houston, DFW, and San Antonio.

\$1B+

COMBINED
TRANSACTION
EXPERIENCE

8

FULL-CYCLE LP
EXITS

42% Deal-by-Deal

BEST DEAL LP IRR

NOT A BLIND POOL

Get in Touch

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